



CENTUM

tangible wealth

FY2025 Results Announcement

For the Period ended 31 March 2025

July 14th, 2025

www.centum.co.ke



Agenda

1. BUSINESS REVIEW

2. FINANCIAL REVIEW

3. OUTLOOK

SECTION 01

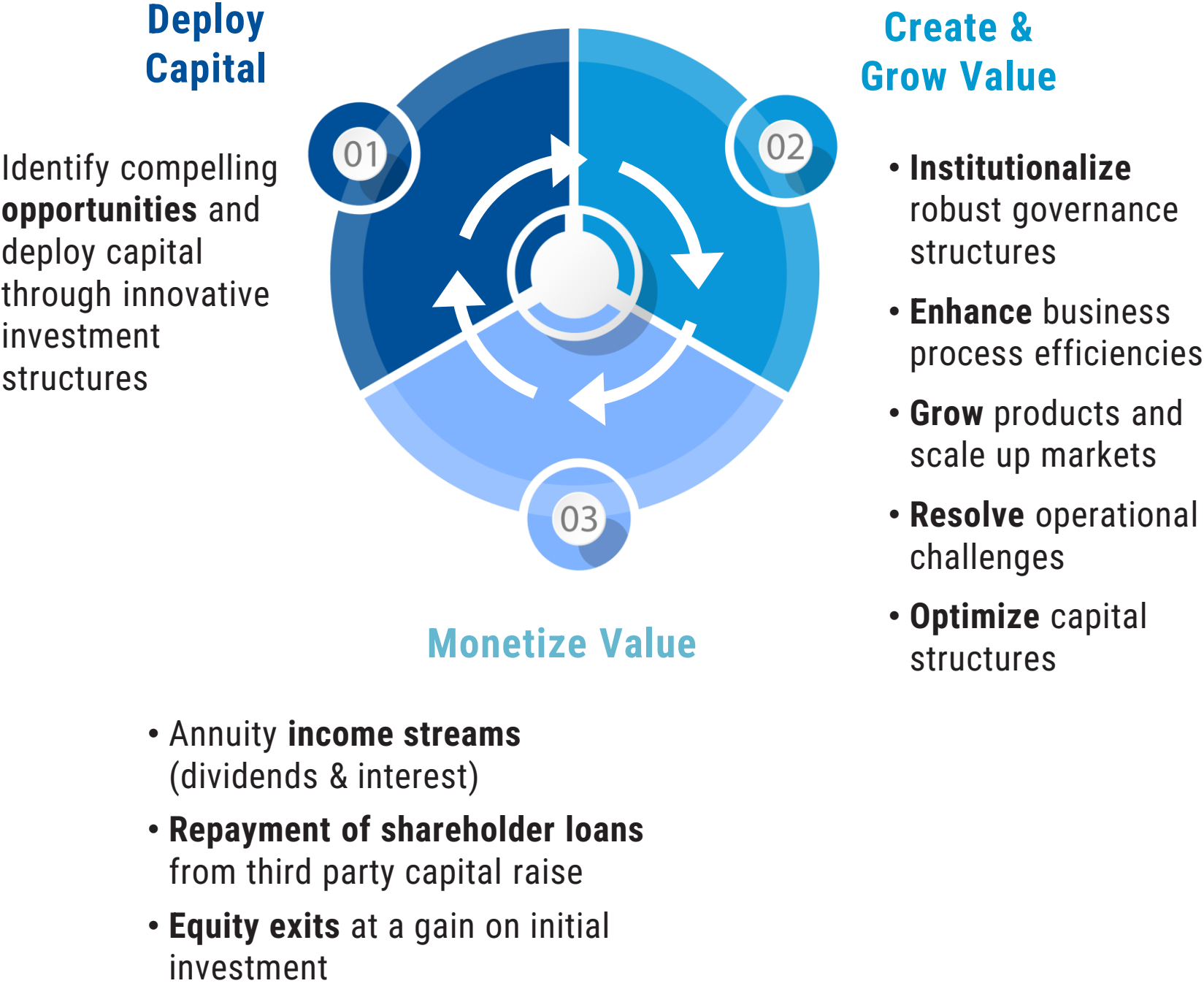
BUSINESS REVIEW

SECTION 1:1

BUSINESS REVIEW

Company Overview

Our Business Model



Our Competitive Advantage

IDENTIFY

Identifying and or creating high quality investment opportunities

GROW

Deep expertise and local knowledge that is key for portfolio value creation

EXIT

Strong track record of successful exits at a premium to the asset carrying value



A **high-quality portfolio** comprising assets with potential for both significant yield and capital gains.

The current portfolio is held at an average of a **2.6X** multiple on the net cost invested.

10 exits made in the period 2009-2022 at **3.7X** money back on average.

Centum made **9 out of the 36 exits*** disclosed in the private equity space in Kenya over the past decade.

*2023 EAVCA report

Company Snapshot | 31 Mar 2025



Market Capitalisation⁽¹⁾

KES
8.2 billion



Total Assets

KES
50.7 billion
10x growth since Mar 2009



Net Asset Value⁽²⁾

KES
44.5 billion
[Kes 67 NAV per share]



Cumulative dividend distribution
consistently paid out annually
since 2017

KES
5.3 billion



Long Term Gearing

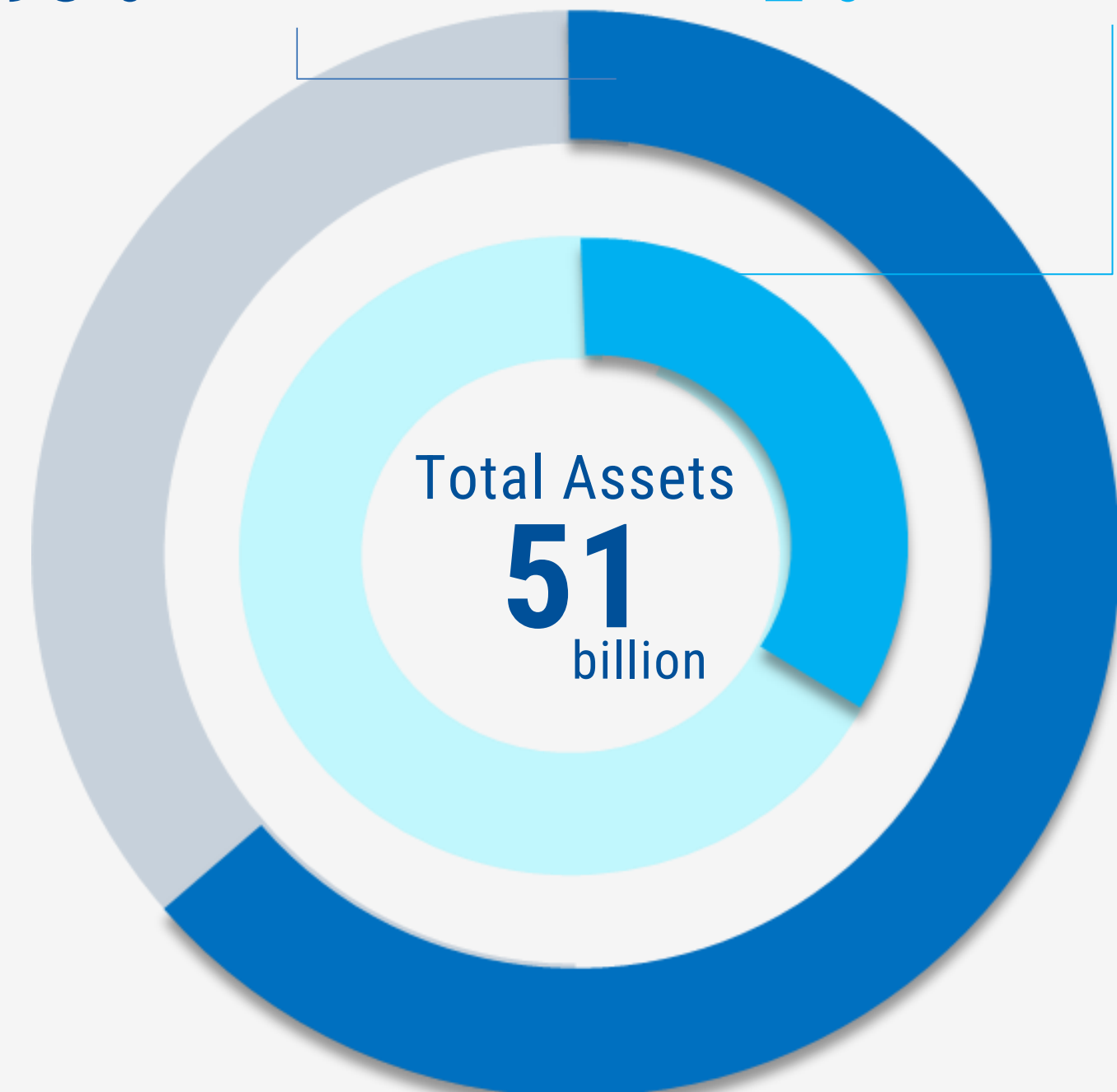
0 %

(1)Share price as of 10 July 2025, 665.44mn shares outstanding.

Portfolio Allocation as of 31 Mar 2025

Growth Portfolio
98%

Marketable Securities
2%



FY 2009 – FY 2025 Snapshot.

Annualized
Return

18.0%

Dividend
Distribution

KES
5.3 billion

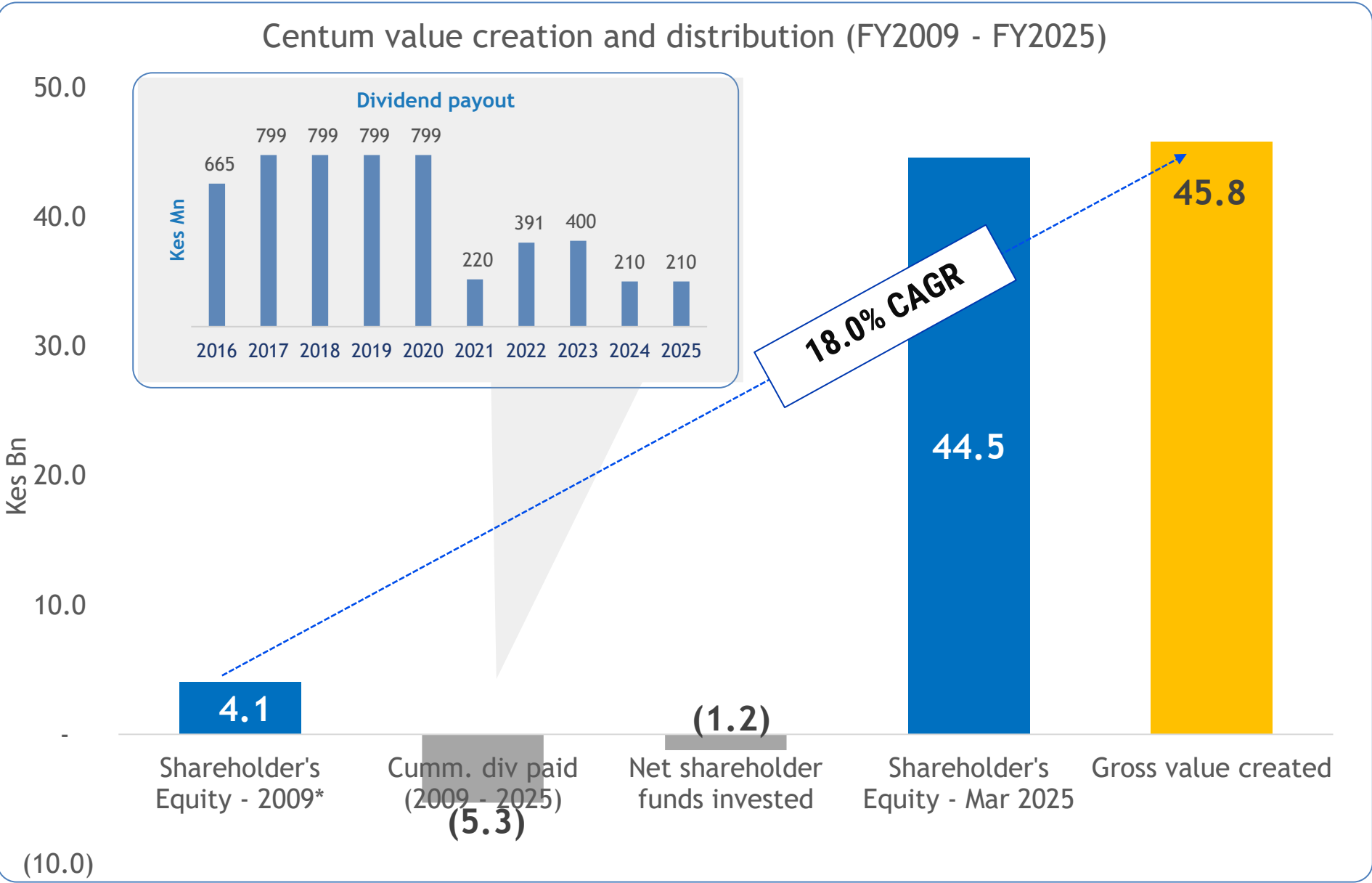
Growth in
Shareholders' Equity

10.3X



Company Snapshot

- The shareholders' equity value at March 2009 was **Kes 4.1Bn.**
- Centum has since made dividend distributions to shareholders amounting to **Kes 5.3Bn.**
- **No new equity capital** was raised between 2009 – 2025, and **Kes 97 million** worth of share buyback was completed. Thus, the total distributions made have exceeded the original shareholder funds invested by **Kes 1.2 Billion.**
- As at 31 Mar 2025, the shareholder equity value was **Kes 44.5 billion.**
- Thus, the **gross value created** for shareholders over the 2009 – 2025 period was **Kes 45.8 billion.**
- This represents an annualised return on equity of **18.0% p.a.** against the NSE 20 Index return of -1.4% in the review period.



SECTION 1:2

BUSINESS REVIEW

Strategy Update

Strategy Overview –

FY2025 Key Focus Areas

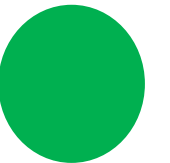
Objectives

Progress Highlights



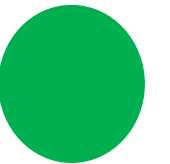
**Balance sheet
strengthening:
Enhancing Liquidity**

- **Kes 3.1 Billion cash was generated from operations** and investment activities in the year.
- We are actively advancing **portfolio monetization** efforts which will unlock significant sustainable long-term liquidity from key portfolio companies such as Centum Real Estate, TRIFIC SEZ, Jafari Credit and Akiira.



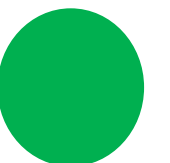
**Growing long-term
value**

- Our **active portfolio management strategy** is focussed on business transformation, value optimization and **maximization of distributable profits**.
- **Kes 3.9 Billion** fair value gains on investments recorded in the year.



**Enhancing
shareholder returns**

- **17% growth in investment income** was recorded in the year.
- **Costs remained contained** with a modest 8% inflationary increase.
- **Finance costs reduced by 32%**, reflecting the **65% debt reduction** in the year.
- Successful implementation of the First Share Buyback and implementation of the Second **Share Buyback** programme which **continues to provide market liquidity thereby preserving shareholder wealth**.



SECTION 1:3

BUSINESS REVIEW

Portfolio Review

FY2025 Summary Carrying Value

31 March 2025



<i>Centum's Portfolio Summary - 31 March 2025</i>	<i>Nature of Business</i>	<i>Sector</i>	<i>Stake</i>	<i>Equity Value Kes Mn</i>	<i>Shareholder loans Kes Mn</i>	<i>Total Carrying Value Kes Mn</i>	<i>Valuation Method</i>
Two Rivers Land Co. SEZ Ltd	Development of Grade A offices and residential units within TRIFIC SEZ targeting export-oriented service enterprises for rent in USD and subsequent sale at a cap rate.	Service	80.50%	9,442	1,061	10,503	Cost
Centum Real Estate (Land Co)	Sale of development rights in master-planned mixed use	Real Estate	100%	15,715	6,105	21,820	Fair value of property
Centum Real Estate (Dev Co)	Development and sale of residential units across Kenya and Uganda	Real Estate	100%	2,870	580	3,451	Cost
Akiira Geothermal	Geothermal power development	Power	85%	-	1,095	1,095	Cost
Sidian Bank	Banking	Financial Services	14.13%	1,032	49	1,081	Recent transaction price
NAS Servair	Airline Catering	Service	15%	1,065	-	1,065	EBITDA Multiple
Isuzu East Africa	Automotive assembly	Manufacturing	17.80%	5,621	-	5,621	EBITDA Multiple
Longhorn Publishers	Books publisher	Consumer	60.20%	495	-	495	Market Price
Jafari Credit	Civil servants payroll lending	Financial Services	100%	1,230	204	1,433	DCF
Nabo Capital	Fund manager	Financial Services	100%	452	17	470	Net Asset Value
Green Blade Growers	Horticulture farming for export	Agribusiness	100%	113	189	302	Net Asset Value
Tribus Group	Security and facilities management	Service	100%	269	-	269	EBITDA Multiple
ACE Holdings	Holdco fo SABIS Int'l school in Nairobi	Education	16.40%	421	15	436	Cost
Tier Data	ICT infrastructure and services	ICT	100%	-	13	13	Cost
Others	Centum Capital partners and SPVs	Service	100%	-	574	574	Cost
Total Growth Portfolio				38,726	9,903	48,629	
Marketable Securities	Diverse portfolio of fixed income securities	Fixed Income Securities	100%	1,550	398	1,948	Market Price
Grand Total				40,276	10,301	50,577	

Key Portfolio Updates | 31 March 2025

Total Assets - KES 51 Bn | Total NAV – KES 44.5 Bn | NAV Per Share – KES 66.93

GROWTH ASSETS



CASH GENERATING ASSETS



Marketable
Securities Portfolio



Centum's Stake: **80.5%**

Carrying Value: **Kes 11Bn**

Market Opportunities

1. Significant demand for office space located within an SEZ.
2. A youthful population offering readily available skilled labour.
3. Robust business model has attracted significant investor interest to the SEZ.

Portfolio review – Two Rivers Land Company SEZ



Business Model: A hub for export-oriented service enterprises

- TRIFIC SEZ is domiciling export-oriented service enterprises and investment companies. The enterprises within the Special Economic Zone enjoy fiscal incentives, strategic location, access to world class infrastructure and one-stop business support services.
- TRIFIC offers Grade A office spaces (grey box, serviced or fitted) to enterprises looking to set up in the SEZ and also offers business support services which entail facilitation of SEZA licensing, recruitment and advisory on regulatory compliance.
- Once fully let, the assets developed by Two Rivers Land Company SEZ are sold to long term investors at an income yield via an I-REIT.



Progress

- TRIFIC North Tower – an existing building within the SEZ with **16,234 SQM** gross lettable area – has been **88% leased**.
- **16 SEZ license** applications for various TRIFIC SEZ enterprises have been **approved** with **13 applications** under *review*. This is the highest and most rapid licensing success recorded under Kenya's SEZ regime owing to TRIFIC SEZ's compelling value proposition and strong regulatory support.
- The process of establishment of a **Dollar I-REIT** is advanced and the TRIFIC North Tower is expected to be sold into the I-REIT upon completion of the ongoing capital raise.
- **USD 47.5Mn** mezzanine finance secured to develop a second office tower with **76,400 SQM**. A pipeline of demand has been developed and pre-letting commenced.



Outlook

- **Proven Demand & Sector Fit:** With the TRIFIC North Tower, we have validated strong product-market fit across target sectors and established a deep pipeline of demand for additional towers.
- **Scalable, De-risked, Repeatable Platform:** With 1.2 million sqm of gross leasable area, highly profitable unit economics, and the validation of the build-lease-exit model, we have established a highly scalable, repeatable platform geared for growth.

Centum's Stake: **100%**

Carrying Value: **Kes 21.8Bn**

Market Opportunities

1. High investor interest due to strategic locations presenting an opportunity for de-risked real estate investment.
2. Existing, high quality ready infrastructure.
3. Demand for master planned, investor-ready location offering an ecosystem for diverse real estate investments.

Portfolio review – Centum Real Estate | [A] Land sales

Sales Traction; Cash Collections and Profit Potential

Annual Land Sales Kes Millions	Signed Contracts		Collections	
	FY2024	FY2025	FY2024	FY2025
Bulk Land Sales	3,468	-	672	891
Residential Sales	199	505	99	130
Commercial Sales	89	624	62	203
Total	3,756	1,129	832	1,223

Cumulative Land Sales Land Sales Segment (Kes Bn)	Total Value (Kes Bn)	Cost (Land+Infra) (Kes Bn)	Profit Potential (Kes Bn)	Cash collected (Kes Bn)	Receivables (Kes Bn)
Signed contracts - Completed (Bulk)	3.8	(0.6)	3.2	3.8	-
Signed contracts - Completed (Retail)	0.4	-	0.4	0.4	-
Signed contracts - Ongoing (Bulk)	3.5	(0.4)	3.1	2.1	1.0
Signed contracts - Ongoing (Retail)	1.0	-	1.0	0.4	0.6
Total	8.6	(1.0)	7.7	6.7	1.6

- Cumulatively, **KES 8.6Bn** worth of land sold, to which the attributable cost of land and infrastructure is **KES 1.0Bn**. This is an **88% average profit margin**, reflecting the realization of previously recognized capital gains.
- Retail sales (contracts for < 100 acres) have been achieved at **KES 7.0Mn – KES 12.0Mn** per acre on average, indicating scope for higher margins on ongoing sales.
- **KES 6.7Bn** cash collected represents **78%** of the value of sales achieved. Surplus cash from land sales continues to be up-streamed to Centum as repayment of the shareholder loans previously advanced to acquire and develop the underlying assets.
- During FY2025 and in June 2025, a total of KES 2.1Bn of debt related to Vipingo land acquisition was repaid, fully settling the acquisition debt

Centum's stake: **100%**

Carrying Value: **Kes 3.5Bn**

Market Opportunities

1. Robust and growing demand for mid-market and affordable housing
2. Strategically located development rights in in master planned neighborhoods across key East African cities.
3. Market-tested housing concepts
4. Sales-led, capital light business model

Portfolio review – Centum Real Estate | [B] Residential units

✓ Strong sales traction and cash generating capacity

Annual Residential Units Sales Kes Millions	Signed Contracts		Collections	
	FY2024	FY2025	FY2024	FY2025
Completed Projects	839	478	2,305	1,272
Ongoing Projects	512	325	736	880
Market Validated Projects	498	1,643	260	327
Total	1,850	2,446	3,301	2,479

Cumulative Sales Residential business KShs (Bn)	Total Value (Kes Bn)	Total Cost (Kes Bn)	Profit Potential	Cash collected (Kes Bn)	Receivable (Kes Bn)	Cost to Complete (Kes Bn)	Net Cash Realizable (Kes Bn)
Completed, sold & recognized in P&L	10.1	(9.2)	0.9	10.1	-	-	0.0
Completed, sold but not recognized in P&L	0.5	(0.3)	0.2	0.4	0.1	-	0.1
Completed but not sold	0.1	(0.1)	0.0	-	0.1	-	0.1
Ongoing - sold	9.3	(7.7)	1.6	5.4	3.9	(2.3)	1.6
Ongoing - not sold	2.3	(1.8)	0.5	-	2.3	(1.4)	0.9
Sub-total (Completed and Ongoing)	22.3	(19.1)	3.2	15.9	6.4	(3.7)	2.7

- **KES 22.3 Bn** revenue potential of ongoing and completed projects. **KES 6.4 Bn** cash is collectable from the balance in **receivables and inventory** of projects under development.
- Under **IFRS**, project revenues are only recognized in the P&L once the units are *completed, fully paid for and handed over to homeowners*. Thus, the profit potential will progressively reflect in Centum RE's net asset value as the revenue recognition criteria are met in future periods.

✓ Ramping up

- **Establishment of affordable housing platform:** The company is in the process of establishing a dedicated platform focused exclusively on exploiting the deep demand for affordable homes to create a high growth scalable residential housing development platform
- **USD 20Mn IFC funding** has been secured to accelerate development and sales of some of the existing projects and the new pipeline

Centum's Stake: **85%**

Carrying Value: **Kes 1.1Bn**

Market Opportunities

1. Demand for green energy for industrial use
2. Proximity to key infrastructure
3. Steam development for sale to industrial consumers or power producers
4. Green funding which is relatively cheaper
5. Monetization of carbon credits
6. Strategic partnerships



Business highlights and progress

- Akiira Geothermal is **strategically well-placed** to provide base load power to the grid and captive consumers to capture the significant and growing demand for green energy in Kenya and beyond.
- To drive value creation and maximise the existing market opportunity, Centum increased its stake in the project from 37.5% to **85%**.
- The project has secured an extension of the power purchase agreement (PPA) and geothermal license.



Investor engagement

- We are in talks with a number of investors to enable us to close the equity round for the development of a **140MW power plant**.

Other Growth Assets



Centum's Stake | **14%**

Carrying Value | **Kes 1.0 Bn**

+ 48%
Total Assets

+ 62%
Customer Deposits

✓ **Kes 22 Bn** growth in Total Assets between Mar 2024 and Mar 2025.

✓ **Kes 19 Bn** growth in Customer Deposits between Mar 2024 and Mar 2025.



Centum's Stake | **100%**

Carrying Value | **Kes 1.4 Bn**

+ 49%
Loan Book Growth

27 %
Net Operating Yield

✓ **Kes 133 Mn** growth in loan book registered in 12 months on the back of accelerated disbursements to close at **Kes 404Mn**.

✓ **19% return on equity** generated for the 12 months to Mar 2025.

- Enhanced profitability is projected to be achieved from an optimal mix of equity and debt funded loan book growth to tap the existing demand in the payroll lending market segment.

Cash Generating Assets



Centum's Stake | 15%

Carrying Value | Kes 1.1Bn

- Continues to **diversify revenue streams** from Passenger Comfort (in-train) Services and Corporate Catering.
- The business has sustained **dividend distribution** following the rebound and growth in business.

ISUZU
EAST AFRICA

Centum's Stake | 17.8%

Carrying Value | Kes 5.6 Bn

- Isuzu remains a market leader with a **60%** market share in the commercial vehicle segment.
- The vehicle assembly and distribution business has recently won the rights to distribute **UD Trucks in Kenya**, taking over from a competitor that exited the segment. This adds to Isuzu's continued **product diversification** and **market expansion**.
- Improved interest rate and inflation environment expected to enhance sales in the short to medium term.

Cash Generating Assets

MSP Asset Allocation (Kes Mn)

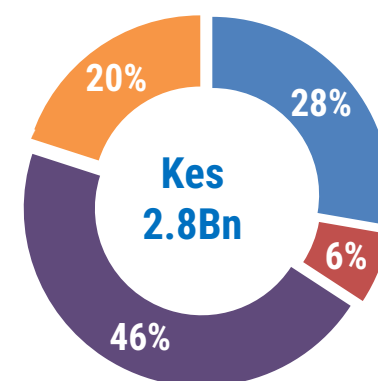


Marketable Securities Portfolio & Cash

Carrying Value | Kes 1.9 Billion

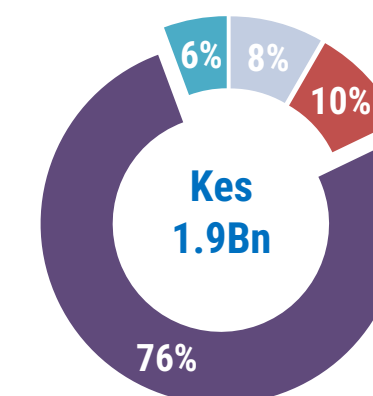
Mar 2024

- Cash & Equivalents
- Government Bonds (LCY)
- Government Bonds (Eurobonds)
- Corporate Fixed Income



Mar 2025

- Cash & Equivalents
- Government Bonds (LCY)
- Corporate Fixed Income
- Unit Trusts



- Marketable securities portfolio is held for **liquidity** of the overall investment portfolio. The portfolio has yielded an **average total return of 18.5%p.a** for the 12 months to March 2025 against our minimum target of **14%p.a**.
- The portfolio is largely allocated to diverse **fixed income securities** and is actively traded to take advantage of market opportunities and minimize risk exposure to adverse trends.
- In FY 2025, we made a tactical liquidation of **c. Kes 1.2Bn** of low yielding cash and near cash securities to settle debt and mitigate the impact of the **high interest environment** experienced in the earlier part of the period.
- In the medium term, we expect to enhance Marketable Securities portfolio and **maintain** it in the **range of 10% - 20% of the total portfolio value** in line with our strategic asset allocation objective.

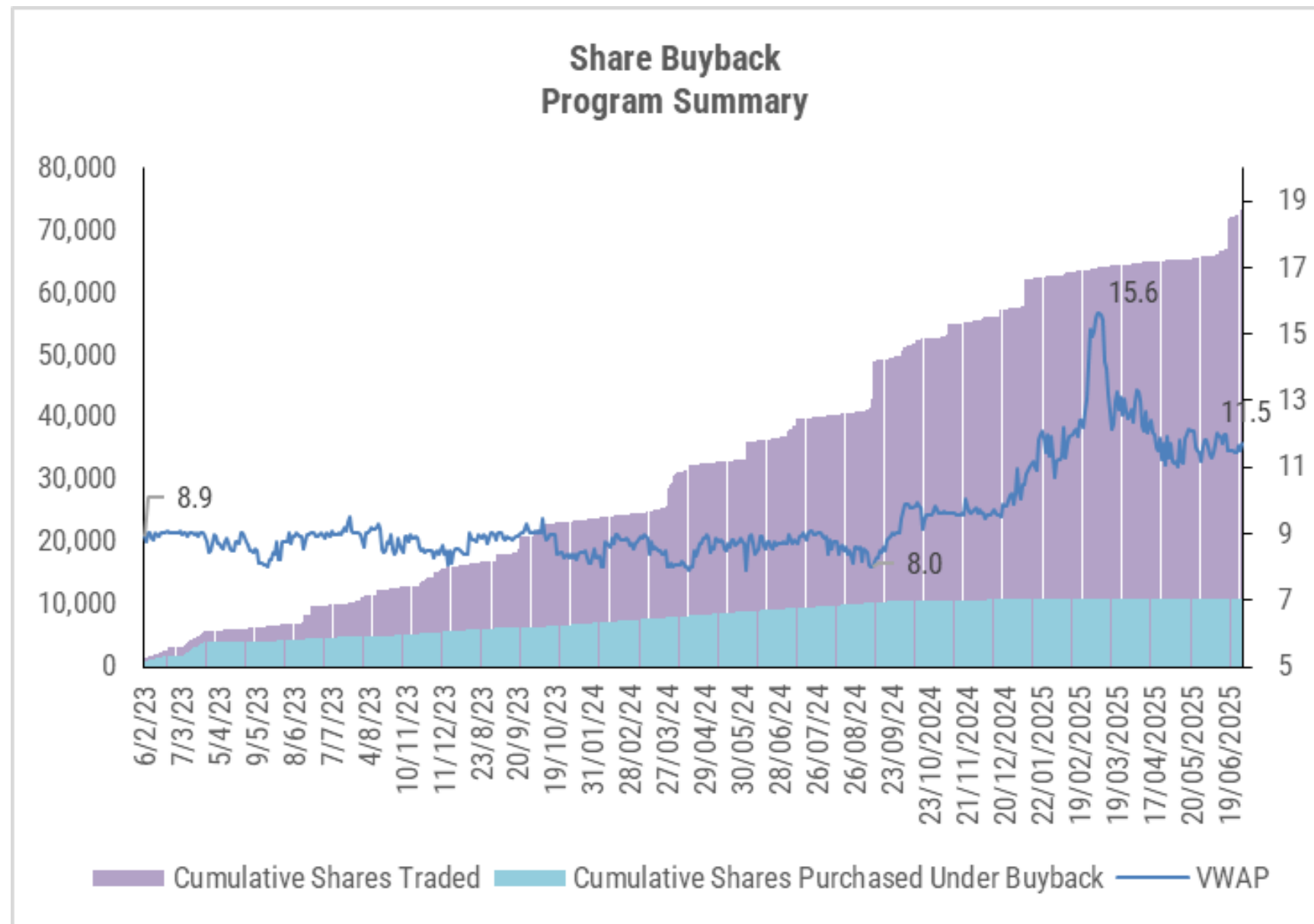
SECTION 1:4

BUSINESS REVIEW

Update on Share buyback

Share Buyback Update

The primary objective of the Share buyback program was to **provide liquidity** to the counter for **value preservation**, and this has largely been achieved.



- Centum initiated its *first buyback* program from **6th Feb 2023 to 30th Sep 2024** at an offer price of **Kes 9.03**, and **10.6Mn shares were purchased**.
- Following approval by the Capital Market Authority, a *second buyback* program commenced on **1st Oct 2024**.
- Since the commencement of the second share buy back program, 150,800 shares have been purchased.
- The buyback program stabilised the share price with the volume-weighted average price (VWAP) ranging between **Kes 9.66 – Kes 12.0** per share, leading to **shareholder value preservation**.
- Since its inception, a cumulative total amount of **Kes 97 million** has been utilized to repurchase **10.8 million shares**.

SECTION 02:

FINANCIAL REVIEW

SECTION 2:1

FINANCIAL REVIEW

Company Financial Performance

Company Performance Highlights - Total Return Statement

Centum's focus as an investment holding company is to **grow and preserve shareholder value**, measured by the Company's Net Asset Value (NAV). The Total Return Statement shows the shareholder value generated in a period.

Performance Highlights:

- **Profit before tax grew by 86%**

Annuity income declined marginally by 4% to in prior year. This was on account of lower interest income resulting from reallocation of part of the MSP portfolio to debt repayment.

Other investment income grew by 49% on account of monetization of part our stake in Sidian Bank during the year.

- **Costs grew marginally by 8%**

- **Finance costs reduced by 32%** on account of debt reduction in the year.

- **OCI reduced by 22%** on account of lower valuation gains recorded for investment properties in the portfolio.

- **Kes 4.4Bn Total Return** generated representing a **10.7% return on opening NAV**

Kes.Mn	FY2025	FY2024	%Δ PY
Annuity income (dividend & interest)	662	692	-4%
Realised gains & other income	687	460	49%
Total income	1,349	1,153	17%
Operating costs	(629)	(580)	-8%
Finance costs	(200)	(295)	32%
Operating profit	521	278	87%
Share of loss in joint venture	(3)		100%
Profit before tax	517	278	86%
Tax	30	278	-89%
Profit after tax	547	556	-2%
Other comprehensive income	3,865	4,948	-22%
Total return for the period	4,412	5,504	-20%
Return on Opening Equity	10.7%	15.3%	

Company Statement of Financial Position

Kes Mn	Mar 2025	Mar-24	%Δ
Growth portfolio:			
Investment in Subsidiaries	30,586	30,786	-1%
Investment in Joint Venture	1,029	-	-
Debt Investment in Subsidiaries	9,588	9,731	-1%
Unquoted Investments	7,138	4,402	62%
Other assets	317	331	-4%
Total	49,028	45,250	8%
Marketable securities portfolio:			
Government securities & Corp. bonds	1,948	2,513	-22%
Cash and Equivalents	53	320	-84%
Total	1,631	2,832	-42%
Total Assets	50,658	48,083	5%

- ✓ 8% increase in Growth Portfolio on account of value uplift in unquoted investments.
- ✓ Marketable securities reduction following strategic reallocation of the portfolio towards debt repayment

Kes Mn	Mar 2025	Mar 2024	%Δ
Borrowings	690	1,951	-65%
Other Liabilities	5,431	5,090	7%
Total Liabilities	6,121	7,041	-13%
Share Capital & Premium	823	855	-4%
Revaluation Reserves	23,023	19,159	20%
Retained Earnings	20,690	21,028	-2%
Shareholder Funds	44,537	41,042	9%
Equity and Liabilities	50,658	48,083	5%
NAV Per Share (KShs.)	66.9	61.7	9%

- ✓ **65% reduction in Borrowings**
- ✓ Other liabilities largely comprise deferred tax liabilities on the accumulated revaluation reserves.
- ✓ Changes in shareholder funds are due to the **return generated** and **treasury share purchases**.

Highlights:

The Company generated free cashflows of **Kes 3.1Bn** which were deliberately allocated to support our capital structure and growth strategy:

✓ Reinvestment- Kes 1.7Bn

Focused on asset preservation and growth to enhance future earnings

✓ Debt and interest – Kes 1.2Bn

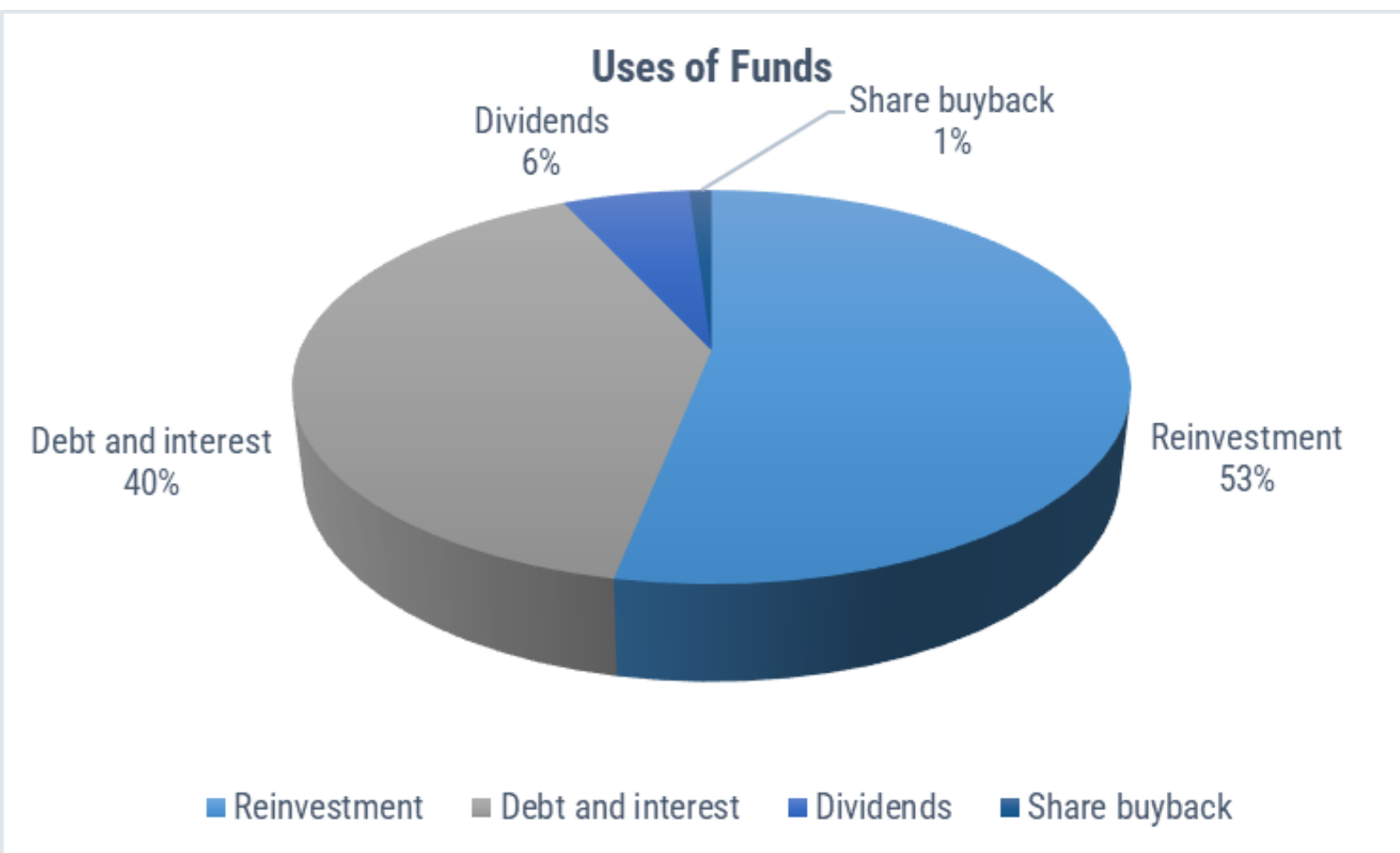
Deliberate deleveraging effort – reduced gearing from 4.8% to 1.5%

✓ Dividends and the Share buyback – Kes 215 Mn.

Delivered shareholder returns in line with the Group's capital allocation framework, while safeguarding liquidity.

Company Cashflows & strategic allocation

Reconciliation of profit to cashflows (Kes.Mn)	FY2025	FY2024
Profit/(Loss) before tax	517	278
Add back/(deduct) non cash items	(682)	628
Proceeds from shareholder loan repayments	623	2,238
Net cash from operations	458	3,144
Proceeds from disposals	2,605	3,495
Net free cashflows generated	3,063	6,639



SECTION 2:2

FINANCIAL REVIEW

Consolidated Financial Performance

Statement of Comprehensive Income

28% improvement in consolidated total comprehensive income

KES. 'Mn	Mar 2025	Mar 2024	%Δ
Loss from trading businesses	(490)	(706)	31%
Profit/(loss) from financial services	90	(500)	118%
Profit from real estate investments	1,510	2,513	-40%
Loss from Two Rivers Development Group	(243)	(965)	75%
Profit from Two Rivers Special Economic Zone	88	2,920	-97%
Profit/(loss) from investment operations	1,179	(353)	434%
Consolidated profit before tax	2,135	2,908	-27%
Income tax expense	(1,323)	(304)	-335%
Consolidated profit after tax	813	2,604	-69%
Other comprehensive income/(loss), net of tax	2,452	(62)	4030%
Total comprehensive income for the year	3,265	2,541	28%

Attributable to:		
Owners of the parent	3,699	2,745
Non-controlling interest	(435)	(204)
Total comprehensive income for the year	3,265	2,541

Earnings Per Share-Basic	2.05	4.27
--------------------------	------	------

Performance Highlights:

- 69% reduction in profit after tax mainly on account of two key non-cash movements.
 - (i) Lower revaluation gains recorded on investment property held by Centum Real Estate & Two Rivers Land Co.
 - (ii) increase in tax driven by deferred tax on asset reclassifications and change in the deferred tax rate for investment property not for sale from 5% to 15%.
- Performance improvement was recorded across all other segments.
- Improvement in other comprehensive income and total comprehensive income on account of better performance and valuation of unquoted investments in the year.

Performance Highlights:

- Consolidated Statement of Financial position aggregates the assets and liabilities of subsidiary companies, the net equity value of associates and the fair value of investments within the group.
- The assets and liabilities indicated are of businesses in diverse operations sectors across our various business segments.
- The increase in total assets reflects the consolidation of Akiira Geothermal, which became a subsidiary during the year ended 31 March 2025

Statement of Consolidated Statement of Financial Position

KES 'Mn	Mar 2025	Mar 2024	%Δ
Assets:			
Investment portfolio	61,542	58,398	5%
Loans and advances	404	271	49%
Cash and cash equivalents	1,124	1,431	-21%
Other assets	19,280	16,072	20%
Total Assets	82,351	76,172	8%
Liabilities:			
Borrowings	17,855	16,591	8%
Other liabilities	21,251	19,817	7%
Total Liabilities	39,106	36,408	7%
Total Equity	43,244	39,764	9%
Total Capital and Liabilities	82,351	76,172	8%

SECTION 2:3

FINANCIAL REVIEW

Debt Review

Company Debt Analysis

Debt reduced by 65%, resulting in enhanced financial flexibility

	F2019	F2020	FY2021	FY2022	FY2023	FY2024	FY2025
Revolving credit facilities/term loan	16,036	6,448	3,106	3,150	1,500	1,054	–
Overdraft facility	108	1,037	1,016	1,010	748	896	690
Total	16,144	7,485	4,122	4,160	2,248	1,950	690
Less: Liquid MSP & Cash	(2,105)	(7,804)	(7,075)	(6,318)	(3,686)	(1,737)	(804)
Net debt	14,039	(319)	(2,953)	(2,158)	(1,438)	213	(114)
Liquidity/Total Debt Coverage	0.13x	1.04x	1.72x	1.52x	1.64x	0.89x	1.16x
Liquidity/Short Term Debt Coverage	19.49x	7.53x	6.96x	6.26x	4.93x	1.94x	1.16x
Equity	52,600	47,439	41,822	41,326	35,968	41,042	44,548
Net Debt to Equity	26.7%	0.0%	0.0%	0.0%	0.0%	0.5%	0.0%
Total Debt to Equity	30.7%	15.8%	9.9%	10.1%	6.3%	4.8%	1.5%

- The deleveraging objective was accomplished with **full repayment** of long-term debt.
- The available liquidity in marketable securities exceeds the outstanding short-term overdraft facilities, leading to a **nil net debt position**.

Group Debt Analysis and Centum's Contingent Exposure

Centum has guaranteed **Kes 5.2Bn** of debt in respect of *Centum Real Estate Ltd* and *Two Rivers Land Co. SEZ Ltd*. The outstanding exposures are adequately covered by the assets held in the respective subsidiaries.

Summary of Group borrowings (Kes. Mn)	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Guaranteed by Centum	Total Assets of Primary Borrower	Assets cover of Guaranteed facilities
Centum Investment Co. Plc	4,122	4,159	2,248	1,951	690	-	50,658	-
Longhorn Publishers Plc	1,277	1,003	1,091	1,069	975	-	2,008	-
Centum Real Estate Limited	5,966	5,253	4,500	3,098	1,327	1,327	44,838	33.79x
Two Rivers Development Limited	9,644	10,210	11,839	2,978	2,577	-	1,686	-
Sidian Bank	4,492	10,124	12,153	-	-	-	-	-
Two Rivers Land Co SEZ Ltd	-	-	-	7,274	9,663	3,900	19,376	4.97x
Akiira Geothermal Ltd	-	-	-	-	2,452	-	5,632	-
Others	-	-	-	222	171	-	1,091	-
Total	25,501	30,749	31,831	16,591	17,855	5,227	124,198	

- Portfolio companies secure debt financing to fund their business growth strategies based on their debt carrying capacities.
- Centum has offered guarantees for some subsidiaries' debt facilities (Centum RE and Two Rivers Land Co. SEZ) to enable the businesses access external financing key for implementation of value creation strategies. Both companies have sizeable asset bases and cash generating capacity to comfortably service their debts with no projected recourse to Centum.
- Guaranteed debt has reduced considerably by 52% from Kes 11.3Bn to Kes 5.2Bn as Centum RE has repaid their facility from Kes 3.1Bn to Kes 1.3Bn while Two Rivers Land Co. SEZ has repaid the facility from USD 50Mn to USD 38.5Mn. These have been fully funded from the respective businesses' cash flows.

SECTION 2.4

Strategic overview of asset revaluations and impairments

Dr. James Mworia

Summary of Asset Revaluations and Impairments:

- Historically, Centum has made impairment provisions, in line with our conservative annual asset revaluation policy.
- A significant majority of these provisions relate to four key entities—Two Rivers Development Limited, Akiira Geothermal Ltd. (AGL), Sidian Bank (via Bakki Holdings), and Centum Business Solutions. These were non-cash accounting adjustments.
- Since then, a significant portion of the provisions have been recovered, reflecting successful execution of strategic repositioning, monetization, and growth initiatives.

Strategic Overview of Asset Revaluations and Impairments

Impairments Reflect Prudent Valuation Discipline; Majority Now Recovered

Entity	Original Impairment Context	Strategic Recovery Path
Two Rivers Development Ltd.	Valuation markdown of previously recognized gains	Assets transferred to Two Rivers Land Co. SEZ, now 80.5% owned by Centum; repositioned as a licensed SEZ with significant fair value gains.
Akiira Geothermal Limited	Historical markdowns due to drilling and funding risks	Shareholding increased from 37.5% to 85%; AGL is now positioned for strategic dilution with no loss of value
Centum Business Solutions	Provision on shareholder loans after wind-up entity	Repositioned as Jafari Credit - now a profitable entity; recovery of shareholder loan expected through new structure.
Sidian Bank (via Bakki Holdings)	Provisions made pre-exit amid uncertainty	Partial exit in FY24 at a 59% premium to book value; strong returns realized.

Our impairments were not permanent losses - they were conservative reflections of market and strategic realities. Our recoveries prove the resilience of our portfolio and management

Strategic Takeaways

Conservative Provisioning Enables Value Recovery and Credible Net Asset Value

- Annual asset revaluations under IFRS may require impairment before turnaround value is visible
- Most provisions were non-cash, and based on prudent assessments - not distressed write-downs
- Majority of material impairments have since been reversed or realized through cash exits, restructuring, or operational improvement
- Reflects Centum's approach: clean up → reposition → unlock value
- Ongoing strategy: monetization, reinvestment in annuity-generating assets, disciplined capital allocation

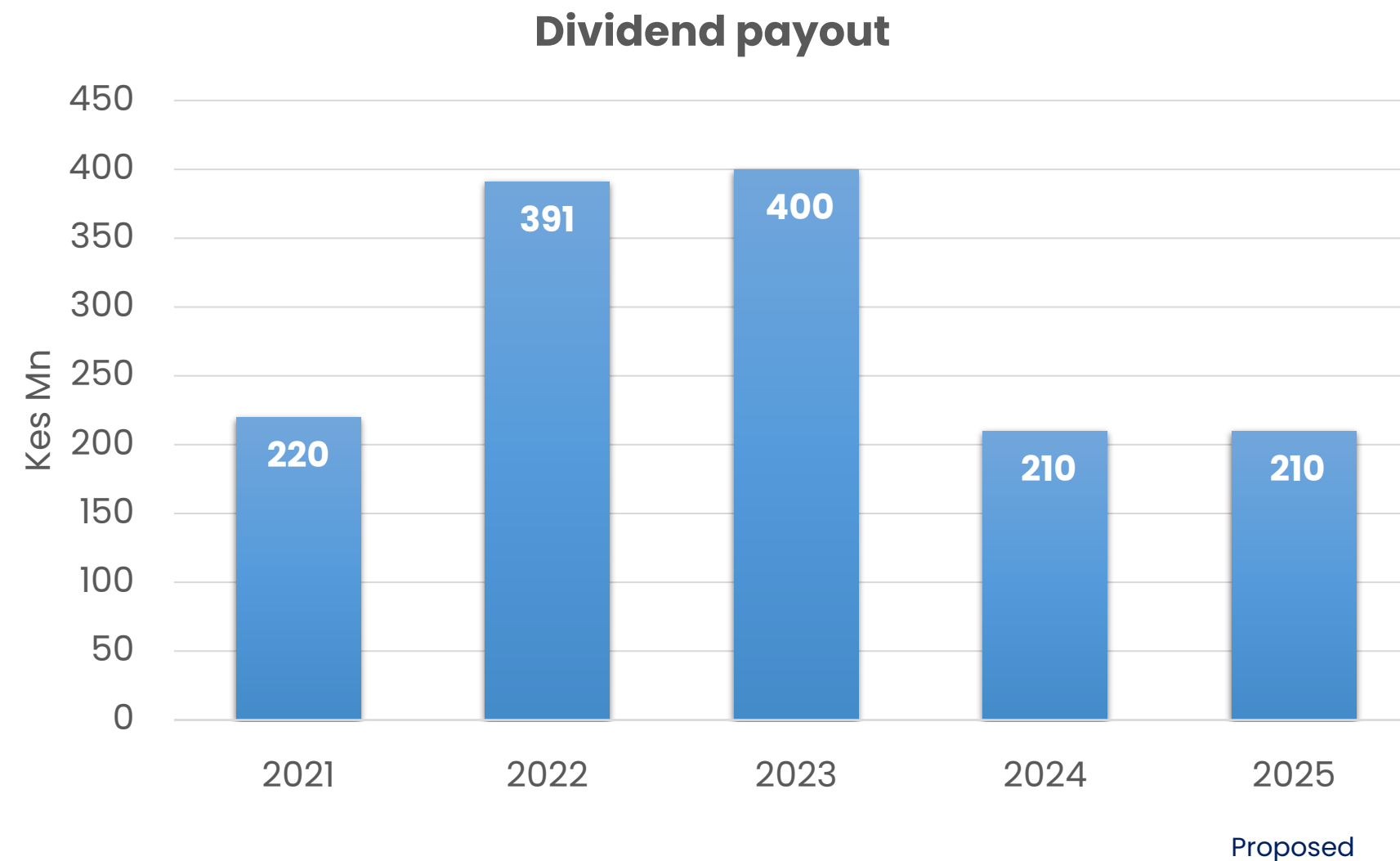
SECTION 2:5

FINANCIAL REVIEW

Proposed dividends

FY2025 Proposed Dividend

Kes 210Mn proposed dividend payout with respect to the Financial Year ended 31 March 2025



- The Board proposes to pay out a dividend of **Kes 0.32** per share, amounting to **Kes 210Mn** with respect to the performance recorded in the year ended 31 March 2025.
- This is in line with the Company's dividend policy of paying out **30% of annuity income**.
- The dividend is subject to approval by the shareholders at the next Annual General Meeting.

SECTION 03

OUTLOOK AND SUMMARY

Summary of Key Messages

Strong Cash Generation	Generated Kes 3.1Bn from operations and exits, enabling reinvestment of Kes 1.7Bn and repayment of Kes 1.2Bn in debt
Sustained NAV Growth	NAV grew by 9% on the back of improvement in performance of the portfolio and reduction in debt.
Significant Deleveraging and Liquidity Strength	Debt reduced by 65% to Kes 690 million Net debt to equity at 0% and strong liquidity coverage
Accelerated Monetization	- Kes 8.6 billion cumulative land sales at an average profit margin of 88% - USD 20Mn IFC funding has been secured by Centum RE to accelerate development and sales of existing projects and the new pipeline - TRIFIC North Tower at advanced stages of exit to I-REIT

Outlook

Objectives

Portfolio value optimization

Asset reallocation

**Enhancing Shareholder
Returns**

Actions

- Ongoing implementation of business model transformation initiatives to achieve growth in portfolio entities including; Two Rivers Land Co. SEZ, Centum Real Estate, Akiira and Jafari Credit.
- Monetization of mature growth portfolio assets to unlock capital for redeployment into marketable securities segment for enhanced annuity income and to achieve the strategic asset allocation objectives.
- Drive the growth in profitability of underlying portfolio companies through implementation of revenue growth initiatives and enhancement of operating efficiency.
- Enhance portfolio cash distributions to Centum to grow the free cash flows available for distribution to shareholders.



CENTUM

tangible wealth

Centum Investment Company Plc
8th Floor, South Tower, Two Rivers
PO Box 10518-00100
Nairobi, Kenya

Tel: (+254) 20 228 6000 / (+254) 709 902 000

www.centum.co.ke

For any questions or clarifications kindly reach out to us on the email contact below.

investorelations@centum.co.ke